

Ukrainian Dairy Market Deep Research

Executive summary

Ukraine's dairy sector has been characterised by a long-term decline in total raw milk output alongside rapid "industrialisation" of the commercially marketed milk stream: total milk production fell from about **10.1m tonnes (2018)** to about **6.9m tonnes (2025, preliminary)**, while the share produced by agricultural enterprises rose sharply as household production contracted faster. This dual structure (households vs industrial farms) is repeatedly identified as the core structural feature shaping milk quality, market access, and bargaining power across the value chain. ¹ [Sources: <https://dspace.nuft.edu.ua/bitstreams/ecf0c259-3935-453c-8ee7-1fd895a587be/download>, <https://kse.ua/wp-content/uploads/2025/10/Eurointegration-2.0.-The-Ukrainian-Dairy-Sector.pdf>, <https://milkua.info/en/post/dairy-farms-slow-milk-production-amid-falling-prices>, <https://en.interfax.com.ua/news/economic/1131139-amp.html>]

Formal dairy processing depends overwhelmingly on industrial farms: by 2024, **~3.129m tonnes** of raw milk were purchased for processing, and "Extra grade" milk (aligned to EU-grade requirements) reached **~55.2%** of purchased milk; household milk was increasingly relegated to lower-grade streams and, where accepted, often to **non-food/technical** processing. This improvement in quality composition is a key enabler for exports (especially to regulated markets) and for higher-value categories (powders, butter, some cheeses). ² [Sources: <https://kse.ua/wp-content/uploads/2025/10/Eurointegration-2.0.-The-Ukrainian-Dairy-Sector.pdf>, <https://www.avm-ua.org/en/post/dairy-map-of-ukraine-2025-achievements-despite-losses>, <https://interfax.com/newsroom/top-stories/102998/>]

Processor competition is **fragmented by value share**: in 2024, the **top 8 processors controlled ~33%** of the market by revenue, and the **top 20 ~57%**, with a large "long tail" of smaller firms (~42.8% share). This structure reflects (i) regional dispersion of plants, (ii) specialisation by product category (fresh, cheese, ice cream, commodity powders), and (iii) chronic constraints on raw milk quantity/quality that limit scale utilisation—one international review notes that only about **60% of processors utilise full capacity**, linking underutilisation to cow losses and household milk quality. ³ [Sources: <https://kse.ua/wp-content/uploads/2025/10/Eurointegration-2.0.-The-Ukrainian-Dairy-Sector.pdf>, <https://www.agroberichtenbuitenland.nl/binaries/agroberichtenbuitenland/documenten/publicaties/2025/07/15/ukraine-agro-sector-transformation.-dairy/Research%2B-%2BTransformation%2Bof%2BUkrainian%2BAgrisector.%2BDairy.pdf>]

Modern grocery retail is **highly concentrated**, giving leading chains strong negotiating leverage over processors (especially on price, promotions, and private-label terms). Financial statements aggregated by Opendatabot ⁴ show that in 2024 the top 10 retailers earned ~€529bn revenue, and the leading grocery formats by revenue were **ATB-Market** ⁵ (**~€208.9bn**) and **Silpo-Food** ⁶ (**~€93.0bn**), with the next tier including **Fora** ⁷, **Novus Ukraine** ⁸, **Entity** ⁹ ["company", "Metro Cash & Carry Ukraine", "ukraine cash and carry"], **Omega** ⁹, and **Foodcom** ¹⁰. **Store-count analytics from Retail Association of Ukraine** ¹¹ show ATB ~1,257 stores and Fozzy Group formats ~826 stores** at end-2024, reinforcing buyer power and the importance of national listings for dairy brands. ¹²

[Sources: <https://opendatabot.ua/en/analytics/index-retail-2025>, <https://rau.ua/news/top-10-merezh-magaziniv-2024/>]

Foreign trade is pivotal but policy-constrained. Multiple Ukrainian industry/official-facing sources indicate that 2024 dairy exports were **~117.73k tonnes** valued at **~\$295.03m**, while imports were **~60.26k tonnes** valued at **~\$290.30m** (near-balance by value; surplus by volume), with imports dominated by higher-value cheeses. At the same time, access to the EU market increasingly hinges on quota administration: in 2025, industry sources reported the EU tariff quota for Ukrainian skimmed milk powder being effectively exhausted early (around August), forcing shipment deferrals/returns—an example of how trade rules feed back into domestic farmgate pricing and processor product-mix decisions. ¹³ [Sources: <https://investincherkasyregion.gov.ua/en/news/over-year-ukraine-exported-more-dairy-products-it-imported>, <https://latifundist.com/en/novosti/68032-ukrayina-vicherpala-kvotu-na-eksport-suhogo-moloka-do-yevrosoyuzu>, <https://uadairy.org/en/export-of-dairy-products-from-ukraine-to-the-eu/>]

Market size and recent trends

A consistent, source-backed picture emerges for 2018–2025: household production shrank steeply, while enterprise production held up better (and even grew in some sub-periods), shifting the milk base toward fewer, larger, more productive farms. A 2025 sector report by Kyiv School of Economics ¹⁴ (KSE Agrocenter) summarises this as a decades-long decline in total volume and cow inventory, with record-high industrial farm productivity partially offsetting herd losses; the same report quantifies household cows at ~67% of cows in 2024 but only ~58% of milk volume due to lower yields and marketability. ¹⁵ [Sources: <https://kse.ua/wp-content/uploads/2025/10/Eurointegration-2.0.-The-Ukrainian-Dairy-Sector.pdf>, <https://www.avm-ua.org/en/post/dairy-map-of-ukraine-2025-achievements-despite-losses>]

Milk production by farm category (2018–2025, best-available synthesis)

Year	Households (k tonnes)	Enterprises (k tonnes)	Total (k tonnes)	Notes on status
2018	7,308.5	2,755.0	10,064.0	Official-stat compilation (pre-war baseline in this series)
2019	6,969.2	2,727.8	9,697.0	Continued household decline
2020	6,506.1	2,761.3	9,267.4	Enterprises stable/slightly up
2021	5,946.2	2,767.7	8,713.9	Pre-invasion high in KSE narrative
2022	5,123.5	2,644.2	7,767.7	Full-scale invasion shock
2023	~4,604.3	~2,807.0	~7,412.0	Values referenced as SSSU-based in UNIDO/sector documents
2024	4,093.9	~3,206.1	~7,300.0	KSE estimate from Ukrstat data
2025 (prel.)	~3,470–3,680	~3,180–2,910	~6,860	Preliminary year results differ by cut-off (Jan–Nov vs full year)

¹⁶ [Sources: <https://dspace.nuft.edu.ua/bitstreams/ecf0c259-3935-453c-8ee7-1fd895a587be/download>, <https://www.unido.org/sites/>

[default/files/unido-publications/2025-01/Action_plans_online_20.06.2024.pdf](https://kse.ua/wp-content/uploads/2025/10/Eurointegration-2.0.-The-Ukrainian-Dairy-Sector.pdf), <https://kse.ua/wp-content/uploads/2025/10/Eurointegration-2.0.-The-Ukrainian-Dairy-Sector.pdf>, <https://en.interfax.com.ua/news/economic/1131139-amp.html>, <https://milkua.info/en/post/dairy-farms-slow-milk-production-amid-falling-prices>]

The most policy-relevant “volume” in dairy is not total milk, but **milk delivered into compliant processing**. KSE reports that industrial farms produced ~90% of raw milk for processing and that the share of Extra grade milk in purchased volumes rose from ~11% (2016) to ~40% (2021) and **55.2% (2024)**, while Grade II/ungraded milk nearly disappeared from food processing. This indicates a rapid upgrade of the export-eligible stream even as total national milk falls. ¹⁷ [Sources: <https://kse.ua/wp-content/uploads/2025/10/Eurointegration-2.0.-The-Ukrainian-Dairy-Sector.pdf>, <https://interfax.com/newsroom/top-stories/102998/>]

Market volume trend chart

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xychart-beta
  title "Ukraine raw milk production by farm category (2018–2025, k tonnes)"
  x-axis ["2018","2019","2020","2021","2022","2023","2024","2025*"]
  y-axis "k tonnes" 0 --> 11000
  line "Households" [7308.5,6969.2,6506.1,5946.2,5123.5,4604.3,4093.9,3600]
  line "Enterprises" [2755.0,2727.8,2761.3,2767.7,2644.2,2807.0,3206.1,3180]
  line "Total" [10064.0,9697.0,9267.4,8713.9,7767.7,7412.0,7300.0,6860]
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2025 shown as a rounded preliminary full-year level assembled from sector reporting; “enterprises vs households” split is indicative because 2025 sources commonly report partial-year totals (e.g., Jan–Nov) rather than final audited results. ¹⁸ [Sources: <https://dspace.nuft.edu.ua/bitstreams/ecf0c259-3935-453c-8ee7-1fd895a587be/download>, https://www.unido.org/sites/default/files/unido-publications/2025-01/Action_plans_online_20.06.2024.pdf, <https://en.interfax.com.ua/news/economic/1131139-amp.html>, <https://milkua.info/en/post/dairy-farms-slow-milk-production-amid-falling-prices>, <https://kse.ua/wp-content/uploads/2025/10/Eurointegration-2.0.-The-Ukrainian-Dairy-Sector.pdf>]

On the processed-product side, KSE provides a concrete snapshot for the first eight months of 2025: output was dominated by **fluid drinking milk (319k tonnes)** and **fermented products (226.9k tonnes)**, followed by **cheese (93.2k)** and then commodity categories (**butter 50.8k; cream 42.1k; SMP 31.7k; condensed milk 21.6k; WMP 10.5k**). This portfolio implies (i) heavy domestic orientation in “fresh” categories, (ii) export significance of powders/butter/condensed, and (iii) the importance of cold-chain reliability and retail promotion intensity for fermented and milk drinks. ¹⁹ [Sources: <https://kse.ua/wp-content/uploads/2025/10/Eurointegration-2.0.-The-Ukrainian-Dairy-Sector.pdf>]

Retail market structure and leading dairy retailers

Ukrainian dairy retail is dominated by modern grocery, with purchasing power concentrated in national chains, especially discounters and supermarket groups. Store-count research by the Retail Association of Ukraine shows that as of end-2024 the biggest FMCG networks by store count included ATB (~1,257) and Fozzy Group formats (~826), and that 2024 openings were disproportionately weighted toward

safer western regions and the Kyiv region, reflecting population movements and security constraints.

²⁰ [Sources: <https://rau.ua/news/top-10-merezh-magaziniv-2024/>]

The leading retailers' financial scale is visible in the Opendatabot Index 2025 (based on 2024 results): ATB (~€208.9bn) and Silpo (~€93.0bn) together accounted for ~57% of revenue within the index top-10, indicating substantial buyer power over branded suppliers and strong capacity to push private-label and promo mechanics. For dairy, this usually translates into (i) aggressive everyday-low-price positioning in core milk/kefir/sour cream, (ii) intense trade spending requirements for premium shelf placement, and (iii) pressure on processors to supply private label to secure volumes. ²¹ [Source: <https://opendatabot.ua/en/analytics/index-retail-2025>]

Major retailers relevant to dairy (2024 scale, and dairy commercial levers)

Company	Role(s)	Volumes (latest)	Market share % (proxy)	Key dairy approach	Ownership / affiliations	Li (v pr
ATB-Market ⁵	Discounter grocery	€208.9bn revenue (Opendatabot); ~1,257 stores (end-2024)	~39.5% of Opendatabot top-10 revenue	Price-led core dairy + heavy promo; strong private label focus	Named owners reported by Opendatabot; ATB corporate group	Pr pr (in Li "F Vy su pr (e pr ch U
Silpo-Food ⁶	Supermarkets / premium formats	€93.0bn revenue (Opendatabot); Fozzy formats ~826 stores (end-2024)	~17.6% of Opendatabot top-10 revenue	Depth in assortment incl. premium/ import; promotes PL innovation (incl. dairy)	Part of Fozzy Group	B pr pr da su m pl
Fora ⁷	Convenience supermarkets	€34.95bn revenue (Opendatabot)	~6.6% of Opendatabot top-10 revenue	Convenience + PL; strong Kyiv-region presence	Part of Fozzy Group	Sh pr ee an pr
Novus Ukraine ⁸	Supermarkets + e-commerce	€29.01bn revenue (Opendatabot)	~5.5% of Opendatabot top-10 revenue	PL largely local (stated 98% made in Ukraine)	Private; CEO quote via Opendatabot	Pr er U m as an lo

Company	Role(s)	Volumes (latest)	Market share % (proxy)	Key dairy approach	Ownership / affiliations	Li (v pr
Entity["company", "Metro Cash & Carry Ukraine", "ukraine cash and carry"]	Cash & carry / HoReCa	€28.75bn revenue (Opendatabot)	~5.4% of Opendatabot top-10 revenue	Strong HoReCa dairy needs; bulk formats	Part of Metro group	O so co fr pr
Omega ⁹	Supermarkets	€20.02bn revenue (Opendatabot)	~3.8% of Opendatabot top-10 revenue	Regional strength; value/promo driven	Part of Olvia group (as per Opendatabot)	Co pr to pr pr to sh
Foodcom ¹⁰	Supermarkets	€19.92bn revenue (Opendatabot)	~3.8% of Opendatabot top-10 revenue	Legacy supermarket chain positioning	Retail group	Co pr an su re

²² [Sources: <https://opendatabot.ua/en/analytics/index-retail-2025/>, <https://rau.ua/news/top-10-merezh-magaziniv-2024/>, <https://ukrproduct.com/en/news/ukrproduct-group-extends-partnership-with-atb-market-on-private-label-project/>, https://www.atb.ua/en_US/section/our-news-4/article/atb-market-succesfully-develops-own-trademarks-44]

Private label has become a central lever in dairy. ATB publicly stated (in its corporate communications) that private-label share was ~24% of assortment and ~25% of turnover, and it explicitly highlights dairy inside “special order” initiatives; while dated, this remains directionally consistent with ATB’s discounter model and with ongoing supplier announcements about ATB private-label contracts (e.g., processed cheese contracts in 2025). Fozzy Group reports 23 private brands and >660 new private-label SKUs launched in 2024, including dairy innovation under “Feels Good,” showing that private label is not only a low-price tactic but also a route to differentiated “better-for-you” dairy. ²³ [Sources: https://www.atb.ua/en_US/section/our-news-4/article/atb-market-succesfully-develops-own-trademarks-44, <https://fozzy.ua/en/news/2022/fozzy-group-introduces-over-600-new-products-development-of-private-labels-in-2024/>, <https://ukrproduct.com/en/news/ukrproduct-group-extends-partnership-with-atb-market-on-private-label-project/>]

Procurement relationships in dairy are often visible through contract-manufacturing disclosures by processors: examples include dairy processors explicitly noting production for national chains (Silpo/Fora/Metro and others) and dedicated private-label pages describing lines produced for Fozzy Group. These disclosures support the conclusion that retailer-led procurement is increasingly based on (i) PL tenders, (ii) centralised quality audits (HACCP/ISO/FSSC), and (iii) consolidated logistics into retailer DCs—raising entry barriers for smaller dairies without certification, stable volumes, or packaging flexibility. ²⁴ [Sources: <https://inmilkco.com/production/private-label.html>, <https://djivaldis.com/en>]

Dairy processing structure and leading processors

Ukraine's processing sector is structurally "mid-concentrated" by global standards: KSE estimates top-8 processors' share at ~33% in 2024 (similar to ~32% in 2017), far below concentration seen in benchmark countries, and it notes that processors are generally not involved in milk production (97% of firms by market share do not rear livestock). This separation makes processors highly dependent on procurement markets and increases vulnerability to farmgate price spikes and quality constraints. ²⁵

[Source: <https://kse.ua/wp-content/uploads/2025/10/Eurointegration-2.0.-The-Ukrainian-Dairy-Sector.pdf>]

Processing volumes and product mix reflect a split between (a) domestic fresh categories and (b) exportable commodities. KSE's 8M-2025 output snapshot shows fresh milk and fermented products as the largest tonnage categories, while butter, powders, and condensed milk remain central to export-linked profitability. The war-era environment (energy disruptions, logistics, loss of cows in affected regions) and the structural raw milk deficit lead to recurring underutilisation of assets; an international review of Ukraine's dairy transformation explicitly states that only about 60% of processors utilise full capacity, attributing this primarily to fewer cows and the lower suitability of household milk for modern processing. ²⁶

[Sources: <https://kse.ua/wp-content/uploads/2025/10/Eurointegration-2.0.-The-Ukrainian-Dairy-Sector.pdf>, <https://www.agroberichtenbuitenland.nl/binaries/agroberichtenbuitenland/documenten/publicaties/2025/07/15/ukraine-agro-sector-transformation.-dairy/Research%2B-%2BTransformation%2Bof%2BUkrainian%2BAgrisector.%2BDairy.pdf>]

Top dairy processors by market share (value), 2024 (KSE, based on firm financials)

Company	Role(s)	Volumes / capacity (where disclosed)	Market share %	Key products / focus	Ownership / affiliations	Links (vertical / commercial)
TERRAFOOD ²⁷	Multi- category processor; export	Capacity claims include large milk/ cheese/butter lines (third-party); "11 dairy factories" (company claim)	5.1%	Butter, cheeses (hard/ processed), fresh dairy; exports	Ukrainian group; vertically structured holding (company claim)	Strong candidate PL supplier for retailers; export- oriented commodity lines
Yagotyn Oil Plant ²⁸	Fresh + fermented; part of holding	Produces 36 dairy types (plant claim)	4.9%	Milk, kefir, sour cream, butter, yoghurts; "Yagotynske"	Part of Milk Alliance	National retail distribution; holding has central procurement/ sales
Lustdorf ²⁹	Fresh dairy + UHT	>100 SKUs; EU export permission since 2016 (company claim)	4.2%	UHT milk, fermented, creams; multiple brands	Private; plant in Illintsi (Vinnytsia region)	Active in PL/ exports; positioned for modern trade

Company	Role(s)	Volumes / capacity (where disclosed)	Market share %	Key products / focus	Ownership / affiliations	Links (vertical / commercial)
Ternopil Dairy Plant ³⁰	Fresh + casein	Raw milk capacity 177k t/year; ~80 SKUs; export markets EU/US/ MENA (QFTP catalogue)	4.2%	Fresh dairy, butter, acid casein, sodium caseinates	"Molokiya" brand group	Supplies modern trade + PL capability (explicit)
Milk Company Halychyna ³¹	Fresh + fermented	Certified scope includes milk, cream, butter, powders and fermented products (FSSC registry)	4.1%	"Carpathian" positioning (yogurt, kefir), milk, sour cream	Ukrainian- owned positioning	Strong retail presence; premium regional branding
Vinnitsia Dairy Plant Roshen ³²	Commodity processor for export + in- group supply	~600 t/day milk intake; lines for powders/butter/ condensed; exports (company disclosure)	3.7%	SMP/WMP/ cream powders, butter, AMF, condensed milk	Part of Roshen group	Vertical link: supplies Roshen confectionery inputs; significant exporter
Danon Dnipro ³³	Fermented + specialised nutrition	Part of Danone UA; Kherson facility suspended; Kremenchuk plant active (company disclosure)	3.5%	Yoghurts/ fermented; also infant formula brands via Danone Ukraine	Subsidiary of Danone	Retail promo- heavy categories; depends on certified farms
Kombinat Prydniprovsky ³⁴	Fresh + diversified food	~250 t/day processing (registry-style source); multiple sites	2.9%	Milk, sour cream, butter, cheese, baby food lines	Ukrainian	Likely regional strength + modern trade supply
Rud ³⁵	Ice cream + dairy	Product lines include milk, sour cream, yoghurts etc (company site)	2.9%	Ice cream brands + dairy portfolio	Ukrainian	Seasonal demand; retail promos important
Dubnomoloko ³⁶	Regional dairy processor	Not disclosed	2.6%	Mixed dairy	Ukrainian	Data gap (public volumes limited)

Company	Role(s)	Volumes / capacity (where disclosed)	Market share %	Key products / focus	Ownership / affiliations	Links (vertical / commercial)
Bilotserkivska Agropromyslova Group ³⁷	Agri + dairy (integrated)	Not disclosed	2.3%	Mixed dairy	Ukrainian	Potential upstream integration (name suggests)
Andrushivskiy Oil Plant ³⁸	Dairy (incl. butter/ cheese)	Not disclosed	2.3%	Butter/ cheese orientation implied	Ukrainian	Data gap
Kremenchuk Miskmolokozavod ³⁹	Dairy processor	Not disclosed	2.2%	Fresh/ fermented (Danone ties exist via Danone UA site)	Ukrainian; referenced by Danone	Linked to Danone Kremez site operations
Lasunka ⁴⁰	Ice cream	Not disclosed	2.0%	Ice cream	Ukrainian	Seasonal retail category
Khladoprom Ice Cream Factory ⁴¹	Ice cream	Not disclosed	2.0%	Ice cream	Ukrainian	Seasonal retail category
B.MK ⁴²	Dairy processor	Not disclosed	1.8%	Mixed dairy	Ukrainian	Data gap
Pyryatyn Cheese Factory ⁴³	Cheese specialist	Part of Milk Alliance brand family	1.7%	Cheese	Milk Alliance	Likely supplies national modern trade
Radivylivmoloko ⁴⁴	Dairy processor	Not disclosed	1.7%	Mixed dairy	Ukrainian	Data gap
Lactalis-Mykolaiv ⁴⁵	International; cheese + fresh	Multi-plant footprint in UA claimed by Lactalis sources	1.6%	President/ Galbani etc	Part of Lactalis	Competes in branded cheese and value-added dairy
Dairy House ⁴⁶	Dairy processor	Not disclosed	1.6%	Mixed dairy	Ukrainian	Data gap

⁴⁷ [Sources: <https://kse.ua/wp-content/uploads/2025/10/Eurointegration-2.0.-The-Ukrainian-Dairy-Sector.pdf>, <https://milkalliance.com.ua/en/company/about-us/>, <https://www.loostdorf.com/about-company/about-us/>, https://qftp.org/wp-content/uploads/2023/10/ua-catalogue_dairy_anuga-2023.pdf, <https://www.fssc.com/public-register/UKR-1-5207-037769/>, <https://roshen.com/en/en/about-roshen/factories-and->

plants/prjsc-vinnytsia-dairy-plant-roshen , <https://www.danone.ua/en/about-company/> , <https://www.ua-region.com.ua/en/01528186> , <https://rud.ua/en/products/dairy/> , <https://galychyna.com.ua/en/> , <https://lactalis.com.ua/>]

Processor market share chart

```
pie title "Dairy processing market shares (value), 2024 (top + others)"
  "TERRAFOOD 5.1%" : 5.1
  "Yagotyn Oil Plant 4.9%" : 4.9
  "Lustdorf 4.2%" : 4.2
  "Ternopil Dairy Plant 4.2%" : 4.2
  "Milk Company Halychyna 4.1%" : 4.1
  "Vinnytsia Dairy Plant Roshen 3.7%" : 3.7
  "Danon Dnipro 3.5%" : 3.5
  "Kombinat Prydniprovsky 2.9%" : 2.9
  "Other processors 57.4%" : 57.4
```

This pie uses KSE's 2024 market-share estimates; "Other processors" aggregates all firms outside the listed slice (including the remainder of the KSE top-20 and the broader long tail). ⁴⁸ [Source: <https://kse.ua/wp-content/uploads/2025/10/Eurointegration-2.0.-The-Ukrainian-Dairy-Sector.pdf>]

Producer market and major milk suppliers and cooperatives

At producer level, the defining economic reality is that households still generate a large fraction of total milk but are progressively excluded from formal processing due to safety/quality requirements and logistics. KSE quantifies household milk production in 2024 at **4,093.9k tonnes** (57% of national output) and estimates that most household milk is consumed or exchanged locally; only **~243.4k tonnes** were sold into processing via collection points, with quality dominated by Grade I/II categories. This implies that the "commercially contestable" milk market is largely the industrial farm segment rather than total national production. ⁴⁹ [Source: <https://kse.ua/wp-content/uploads/2025/10/Eurointegration-2.0.-The-Ukrainian-Dairy-Sector.pdf>]

Industrial farms, by contrast, are increasingly integrated into processors through contractual arrangements. KSE reports that industrial farms sold the vast majority of their output to processing plants (from ~81% in 2021 to ~96% in 2024, with a peak of 99% in 2018), while households face spot-market dynamics at collection points and a persistent price discount (often 25–42% vs industrial milk). This supports a working assumption that **contract farming / structured supply agreements are prevalent in the industrial segment**, while household commercialisation is constrained by compliance and bargaining power. ⁴⁹ [Source: <https://kse.ua/wp-content/uploads/2025/10/Eurointegration-2.0.-The-Ukrainian-Dairy-Sector.pdf>]

Consolidation is visible in farm counts and herd distribution: KSE notes that from 2019 to 2023 the number of industrial farms fell from **1,894 to 1,309**, with the sharpest losses among small farms under 50 head, while large farms (>1,000 head) grew their herds from **103.6k to 123.3k** and by 2023 represented nearly one-third of the national herd. This is consistent with AMP commentary that a small subset of dairy enterprises supplies a disproportionate share of processing milk (high concentration at the supplier end). ⁵⁰ [Sources: <https://kse.ua/wp-content/uploads/2025/10/>

Major producer groups / cooperative models (illustrative profiles; notable gaps)

Company / group	Role(s)	Volumes	Market share %	Key products / activities	Ownership / affiliations	Links
Astarta ⁵¹	Industrial milk producer	115k tonnes milk produced (2023); 111k tonnes sold (2023); ~26k cattle head (2023)	Claims ~4% of commercial milk (2023)	Raw milk production; own feed base; heifer facility	Public agribusiness group	Sells raw milk to industrial processors (not vertically integrated into processing)
Association of Milk Producers ⁵²	Producer association / coordination	Represents dairy farms; publishes sector analytics	n/a	Industry analytics; policy advocacy; quality and productivity benchmarking	NGO/ association	Key node linking farms ↔ processors ↔ regulators; provides market signals
SOCODEVI ⁵³	Cooperative development	Reported: 20 cooperative enterprises network; ~200 milk collection points; ~120 dairy farm families established	n/a	Cooperative formation; milk collection infrastructure	Funded by Global Affairs Canada	Strengthens household/ family-farm market access via collection + training
Union of Dairy Enterprises of Ukraine ⁵⁴	Processor-side association	Publishes EU quota analytics and asks for quota expansions	n/a	Trade policy advocacy; quota monitoring	Industry association	Links processors ↔ EU trade regime; influences product-mix incentives

Company / group	Role(s)	Volumes	Market share %	Key products / activities	Ownership / affiliations	Links
"Large-farm complexes" (selected examples)	Industrial farms	Examples cited: high productivity complexes; revenues reported in 2024 rankings	n/a	Farm-scale milk production	Mixed	Indicative of rapid performance divergence among industrial farms
55 [Sources: https://interfax.com/newsroom/top-stories/101634/ , https://socodevi.org/en/achievements/modern-agricultural-cooperatives/ , https://uadairy.org/en/export-of-dairy-products-from-ukraine-to-the-eu/ , https://biz.liga.net/en/all/all/article/the-eu-opens-its-doors-to-ukrainian-milk-will-its-producers-be-able-to-make-money-from-this , https://socodevi.org/en/story/modern-and-inclusive-agricultural-co-operatives-in-ukraine/]						

Data gap note: beyond a handful of large groups with public reporting (e.g., Astarta), most Ukrainian milk suppliers are private; public, comparable annual milk volumes and revenues for the top supplier set are unevenly disclosed, and many "top farm" lists are published as media/association composites rather than audited datasets. 56 [Sources: <https://biz.liga.net/en/all/all/article/the-eu-opens-its-doors-to-ukrainian-milk-will-its-producers-be-able-to-make-money-from-this>, <https://komersant.ua/en/eksperty-nazvaly-molochnykh-lideriv-ukrainy/>, <https://kse.ua/wp-content/uploads/2025/10/Eurointegration-2.0.-The-Ukrainian-Dairy-Sector.pdf>]

Connections, vertical integration and power dynamics

The supply chain is best understood as **two parallel milk economies**: (1) a household channel that largely bypasses industrial processing through own-consumption and local-market sales, and (2) an industrial channel tightly coupled to processors and modern retail. KSE quantifies the household split in 2024 (most milk consumed or traded locally; only a minority sold into processing) and explains how collection points (private/coop/processor-operated) become an additional bargaining layer that can strengthen buyer power over households. 57 [Source: <https://kse.ua/wp-content/uploads/2025/10/Eurointegration-2.0.-The-Ukrainian-Dairy-Sector.pdf>]

```

flowchart LR
    subgraph Household_Channel["Household milk channel (low market integration)"]
        HH[Households\n(non-registered, small herds)]
        LM[Local / farmers' markets\n& neighbourhood sales]
        CP[Collection points\n(private / coop / processor-operated)]
        HH --> LM --> C[Consumers]
        HH --> CP --> NF[Technical/non-food processing\n(casein/feed/lactose)]
    end

    subgraph Industrial_Channel["Industrial channel (high market integration)"]

```

```

IF[Industrial farms\n(registered, contractual)]
PP[Processing plants\n(fresh dairy, cheese, powders, butter)]
DC[Retail DCs / wholesalers\n& HoReCa distributors]
RT[Modern retailers\n(discount, supermarkets, cash&carry)]
EX[Exports\n(EU, Moldova, MENA, etc.)]
IF --> PP --> DC --> RT --> C
PP --> EX
RT -->|Private label tenders| PP
end

subgraph Vertical_Integration_Examples["Examples of stronger vertical
links"]
  Rosh[Roshen dairy plant\nsupplies confectionery inputs]
  TF[Terrafood\nmulti-plant + milk procurement centres]
end

PP --- Rosh
PP --- TF

```

This schematic is consistent with KSE's quantified household vs industrial marketing channels and with retailer disclosures showing private-label governance (retailer designs and controls PL, processors manufacture). It also reflects documented vertical-link examples where processing is tied to broader corporate groups (e.g., Roshen's dairy plant as an input base). ⁵⁸ [Sources: <https://kse.ua/wp-content/uploads/2025/10/Eurointegration-2.0.-The-Ukrainian-Dairy-Sector.pdf>, <https://fuzzy.ua/en/stm/>, <https://roshen.com/en/en/about-roshen/factories-and-plants/prjsc-vinnytsia-dairy-plant-roshen>]

Who holds power? The strongest bargaining positions are held by (i) top retailers (because of high concentration and control over shelf and promotions), and (ii) the most efficient industrial farms (because they supply compliant milk and can switch among processors). Processors in the middle are squeezed: they face retailer promo demands and, when milk is tight, rising farmgate prices—this dynamic is visible in producer-association reporting that links milk output decisions to procurement-price declines, surpluses of finished goods, and soft demand in late 2025. Households are structurally weakest because they (a) face compliance barriers, (b) sell via spot channels, and (c) receive systematically lower prices. ⁵⁹ [Sources: <https://milkua.info/en/post/dairy-farms-slow-milk-production-amid-falling-prices>, <https://kse.ua/wp-content/uploads/2025/10/Eurointegration-2.0.-The-Ukrainian-Dairy-Sector.pdf>, <https://opendatabot.ua/en/analytics/index-retail-2025>]

Risks, trade and regulatory context

Milk quality regulation is a primary “gate” that determines which farms can sell into food processing. KSE identifies Ministry of Agrarian Policy and Food of Ukraine ⁶⁰ hygiene rules, the DSTU 3662:2018 grading system aligned to EU standards, and the post-2019 restriction of Grade II milk to technical processing as key structural forces accelerating household exclusion and driving investment in industrial farm quality. KSE also cites the role of State Service of Ukraine on Food Safety and Consumer Protection ⁶¹ in sanitary checks at markets and in official controls along the chain, consistent with “farm-to-fork” HACCP/traceability principles embedded in food safety law. ⁶² [Sources: <https://kse.ua/wp-content/uploads/2025/10/Eurointegration-2.0.-The-Ukrainian-Dairy-Sector.pdf>]

Legal and policy fundamentals include the Law of Ukraine “On Milk and Dairy Products” (No. 1870-IV) and broader food-safety and state-control legislation; KSE notes amendments effective from 01.10.2023 and highlights ongoing regulatory updates during martial law, including changes to raw milk requirements and direct-to-consumer milk sales conditions. In practice, processors and farms increasingly rely on internationally recognised certification (ISO 22000/FSSC 22000) to meet retailer audits and export eligibility—e.g., dairy processors’ certification scopes publicly listed in FSSC registers show broad product coverage including milk, cream, butter, powders, and fermented products packaged in multiple formats. ⁶³ [Sources: <https://kse.ua/wp-content/uploads/2025/10/Eurointegration-2.0.-The-Ukrainian-Dairy-Sector.pdf>, <https://www.fssc.com/public-register/UKR-1-5207-037769/>]

Trade access is both an opportunity and a risk. Official-facing sources report dozens of Ukrainian establishments authorised to export dairy to the EU (e.g., 58 as of May 2024 per Ministry-linked reporting; 51 as of Feb-2026 per Diia Business sector profile), showing continued compliance progress. However, export profitability is highly sensitive to EU quota administration and to the post-2022 evolution of Autonomous Trade Measures; UDEU analytics stress the need to revise (raise) dairy quotas under the EU–Ukraine framework, while 2025 reporting shows quota exhaustion (notably for skimmed milk powder), temporarily shutting off an outlet and feeding back into domestic price formation. ⁶⁴ [Sources: <https://interfax.com/newsroom/top-stories/102998/>, <https://export.gov.ua/directory/industry/food-products>, <https://latifundist.com/en/novosti/68032-ukrayina-vicherpala-kvotu-na-eksport-suhogo-moloka-do-yevrosoyuzu>, <https://uadairy.org/en/export-of-dairy-products-from-ukraine-to-the-eu/>]

Geopolitical and operational risks remain dominant: (i) war-driven regional production reallocation (east/south losses, west/centre growth), (ii) energy attacks and blackouts affecting cold chains and yields, (iii) animal health risks (sector reporting flagged concerns about foot-and-mouth disease outbreaks in neighbouring countries affecting risk perceptions), and (iv) macro demand weakness that can leave processors with surpluses even when farmgate costs are high. Industry communications in 2024–2025 repeatedly link these shocks to both farm output decisions and export/price volatility. ⁶⁵ [Sources: <https://www.avm-ua.org/en/post/dairy-map-of-ukraine-2025-achievements-despite-losses>, <https://en.interfax.com.ua/news/economic/1058678.html>, <https://www.dairyglobal.net/industry-and-markets/market-trends/ukraine-dairy-production-inches-down-in-2024/>, <https://milkuia.info/en/post/dairy-farms-slow-milk-production-amid-falling-prices>]

Public/donor support has partially offset war shocks, but scale and continuity remain uncertain. KSE describes a support ecosystem combining state measures (including per-cow support references and broader regulatory simplification/tax adjustments during 2022–2023) with major donor programmes, notably the World Bank’s ARISE and USAID resilience initiatives; UNIDO’s dairy action plan similarly frames household decline as the main driver of falling milk supply and provides a forward-looking lens on why investment in compliance and collection systems is strategically important. ⁶⁶ [Sources: <https://kse.ua/wp-content/uploads/2025/10/Eurointegration-2.0.-The-Ukrainian-Dairy-Sector.pdf>, https://www.unido.org/sites/default/files/unido-publications/2025-01/Action_plans_online_20.06.2024.pdf, <https://socodevi.org/en/achievements/modern-agricultural-cooperatives/>]

Key transparency gaps (explicit): (1) audited, company-level processed volumes are rarely published for private processors; (2) “dairy shelf share” by retailer requires scanner/shelf measurement data that is typically proprietary; (3) milk-collection volumes by cooperative and contract type are unevenly

disclosed outside a few programmes; and (4) trade series by HS code over 2018–2025 requires structured customs datasets not consistently published as a single open time series during martial law, so this report relies on best-available official-facing summaries and association monitoring for 2024–2025. ⁶⁷ [Sources: <https://sdg.ukrstat.gov.ua/2-1-2/>, <https://kse.ua/wp-content/uploads/2025/10/Eurointegration-2.0.-The-Ukrainian-Dairy-Sector.pdf>, <https://opendatabot.ua/en/analytics/index-retail-2025>, <https://investincherkasyregion.gov.ua/en/news/over-year-ukraine-exported-more-dairy-products-it-imported>, <https://wits.worldbank.org/trade/comtrade/en/country/UKR/year/2024/tradeflow/Exports/partner/ALL/product/040221>]

¹ ⁹ ¹⁶ ¹⁸ ²⁷ ²⁹ ³³ <https://dspace.nuft.edu.ua/bitstreams/ecf0c259-3935-453c-8ee7-1fd895a587be/download>

<https://dspace.nuft.edu.ua/bitstreams/ecf0c259-3935-453c-8ee7-1fd895a587be/download>

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⁵⁷ ⁵⁸ ⁶¹ ⁶² ⁶³ ⁶⁶ <https://kse.ua/wp-content/uploads/2025/10/Eurointegration-2.0.-The-Ukrainian-Dairy-Sector.pdf>

<https://kse.ua/wp-content/uploads/2025/10/Eurointegration-2.0.-The-Ukrainian-Dairy-Sector.pdf>

⁴ ¹³ <https://investincherkasyregion.gov.ua/en/news/over-year-ukraine-exported-more-dairy-products-it-imported>

<https://investincherkasyregion.gov.ua/en/news/over-year-ukraine-exported-more-dairy-products-it-imported>

¹¹ ²⁰ <https://rau.ua/news/top-10-merezh-magaziniv-2024/>

<https://rau.ua/news/top-10-merezh-magaziniv-2024/>

¹² ²¹ ²² ²⁸ <https://opendatabot.ua/en/analytics/index-retail-2025>

<https://opendatabot.ua/en/analytics/index-retail-2025>

¹⁴ ⁵⁶ <https://biz.liga.net/en/all/all/article/the-eu-opens-its-doors-to-ukrainian-milk-will-its-producers-be-able-to-make-money-from-this>

<https://biz.liga.net/en/all/all/article/the-eu-opens-its-doors-to-ukrainian-milk-will-its-producers-be-able-to-make-money-from-this>

²³ ⁵² https://www.atb.ua/en_US/section/our-news-4/article/atb-market-succesfully-develops-own-trademarks-44

https://www.atb.ua/en_US/section/our-news-4/article/atb-market-succesfully-develops-own-trademarks-44

²⁴ ³⁵ ³⁸ <https://inmilkco.com/production/private-label.html>

<https://inmilkco.com/production/private-label.html>

³⁴ ⁶⁷ <https://sdg.ukrstat.gov.ua/2-1-2/>

<https://sdg.ukrstat.gov.ua/2-1-2/>

⁴⁰ ⁴⁶ ⁶⁵ <https://www.avm-ua.org/en/post/dairy-map-of-ukraine-2025-achievements-despite-losses>

<https://www.avm-ua.org/en/post/dairy-map-of-ukraine-2025-achievements-despite-losses>

⁴³ ⁶⁰ ⁶⁴ <https://interfax.com/newsroom/top-stories/102998/>

<https://interfax.com/newsroom/top-stories/102998/>

⁵⁵ <https://interfax.com/newsroom/top-stories/101634/>

<https://interfax.com/newsroom/top-stories/101634/>

⁵⁹ <https://milkua.info/en/post/dairy-farms-slow-milk-production-amid-falling-prices>

<https://milkua.info/en/post/dairy-farms-slow-milk-production-amid-falling-prices>